



Our ref: IM-72918

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2 May 2025

Dear Interested Party

Re: ACCC seeking your views: Lactalis's proposed acquisition of businesses within the Fonterra Co-operative Group

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on BSA S.A.S. (**Lactalis**)'s proposal to acquire certain businesses within Fonterra Co-Operative Group Limited (**Fonterra**) (the **proposed acquisition**).

Lactalis is proposing to acquire Fonterra's:

- global consumer business, and
- ingredient and food service businesses in Australia.

Lactalis and Fonterra overlap in milk acquisition, milk processing and dairy product production. Both also engage in the wholesale supply of dairy ingredients and dairy products to food service businesses in Australia and the wholesale supply of cheese, chilled yellow spreads and cream to retailers in Australia and for export. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on whether the proposed acquisition would likely:

- reduce competition in the acquisition of raw milk in the areas where the parties overlap
- reduce competition in the supply of milk processing services in the areas where the parties overlap
- reduce competition in the wholesale supply of:
 - dairy ingredients, such as milk fats and whey powders, and
 - dairy products, such as milk, cheese, butter and yoghurt

Further issues you may wish to address are set out in **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **16 May 2025** via email to mergers@accc.gov.au with the title: *Submission re: Lactalis / Fonterra*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the printed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

The acquirer – Lactalis

Lactalis is a global dairy group, founded in Laval, France in 1933. In Australia, it employs 2,500 people and acquires milk from approximately 500 farmers.

Lactalis' business in Australia includes acquiring raw milk from farmers and processing it into dairy products such as fresh drinking milk, cheese, cream, chilled yellow spreads and yoghurt. Lactalis' retail brands in Australia include Pauls, Vaalia, Jalna, Oak, Lemnos, Président, and Kraft.

In addition, Lactalis operates 3 food service brands in Australia, which supply dairy products to the hospitality and catering sectors. Its food service brands include Galbani Professionale, Pauls Professional, and Président Professionnel.

Lactalis also produces a range of dairy ingredients for the domestic and export markets at its Longwarry Food Park site in Victoria, including whey proteins and lactose, dairy powders, proteins, milk fat and cheese ingredients.

The target – Businesses within the Fonterra Co-operative Group

The Fonterra Co-operative Group Limited is a New Zealand-based dairy co-operative which is owned by around 8,000 New Zealand farmers. Fonterra's business in New Zealand focuses on processing dairy from its farmers into various dairy products as part of its ingredients, consumer and food service businesses. Its Australian division employs around 1,500 staff and sources products from around 650 dairy farmers based in Victoria, Tasmania and parts of South Australia and New South Wales. Fonterra currently operates 8 processing plants in Victoria and Tasmania.

In Australia, Fonterra processes the raw milk it acquires into a range of dairy products, such as cheese, butter and milk powders, which it supplies to domestic and international customers such as retailers and food manufacturers.

Fonterra's retail brands include Mainland, Western Star and Perfect Italiano, and it holds the licence to the Bega brand for natural and processed cheddar cheese products in Australia. Fonterra also supplies milk, cream, cheese and butter products to food distributors through its Anchor Food Professionals brand.

Attachment B

General questions

1. Please describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Lactalis or Fonterra.

Questions for dairy farmers

2. Please list the businesses to which you currently sell raw milk. Where relevant, please indicate whether the business is a processor, milk broker, retailer, or other customer type.
3. Who are the key purchasers of raw milk in your region, and would the proposed acquisition reduce your ability to get a competitive price for your raw milk? Please provide reasons for your view.
4. Are there any purchasers in your region that you can't sell your raw milk to? Why?
5. What factors do you consider in who you sell your raw milk to (e.g. price, distance to processing plant, non-price incentives), and how do you weigh these factors up against each other?
6. What is the volume of raw milk you supply per annum? If possible, please break the volumes down by purchaser. Where relevant, please also provide details of your calving pattern (i.e. seasonal, split or year-round).
7. If farmgate prices for raw milk acquisition were to decrease by 10-15%, how would you respond? What options would you consider and why?

Questions for dairy processors

8. What are the main dairy product categories you supply in Australia? For example, fresh milk, UHT milk, cheese, cream, chilled yellow spreads, or dairy ingredients (such as milk powders).
9. Which purchasers of raw milk do you consider are currently your closest competitors in in Victoria and/or Tasmania? If there are purchasers in these regions you don't compete strongly with, please explain why this is the case.
10. Do you think the proposed acquisition would affect competition for the acquisition of raw milk in any regions of Victoria and/or Tasmania? If yes, please explain how. If no, please explain why not.

Questions for retailers and food service businesses

11. What dairy products do you currently acquire from either Fonterra or Lactalis? If applicable, please outline any private label or toll processing agreements you have with either of them. If relevant, please provide recent examples of tenders or other purchases where Lactalis and Fonterra have closely competed to supply dairy products to you.
12. Are there other providers you could acquire these products from (e.g. other processors or imports)? If not, please explain why not.
13. If prices for dairy products you purchase (including private label products) increase by 5-10%, how would you respond? What options would you consider and why? Are there products for which you would have no effective options?
14. If the proposed acquisition went ahead, do you think this would change the prices or other terms on which you acquire any particular dairy product in Australia?

- If so, would these effects be greater for specific product varieties or in certain areas of Australia? For example, would some varieties of cheese experience a bigger price change than others, or would cream products experience a bigger price change in some regions than others? Why or why not?

Other information or competition issues

15. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.